UNIT 3: CONSOLIDATED STATEMENT OF FINANCIAL POSITION

SESSION 1: BASIC PRINCIPLES

In this session we would discuss the basic principles involved in preparing consolidated statement of financial position. Remember consolidated financial statements are prepared by an investor who gains control over an entity, that is a parent. No control, no consolidation.

Objective

At the end of this session, you should be able to prepare a consolidated statement of financial position for wholly owned and partly owned subsidiary.

Consolidation at the Date of Acquisition – Wholly Owned Subsidiary

Let us begin by reminding ourselves of the consolidation procedures from IFRS 10.

- Combine assets, liabilities, income, expenses, cash flows of the parent and subsidiary
- Eliminate parent's investment in each subsidiary with its portion of the subsidiary's equity
- Fully eliminate intra group transactions and balances.

The whole of consolidation is about these three procedures.

A wholly owned subsidiary means the investor acquired all the shares of the subsidiary and therefore there is nothing for non-controlling interests. From the first step of the procedures, combine/add assets, liabilities and equity to prepare consolidated statement of financial position.

PPE of P + PPE of S = Consolidated PPE of P Group
Inventory of P + Inventory of S = Consolidated Inventory of P Group.
Liabilities of P + Liabilities of S = Consolidated Liabilities of P Group.

Illustration 1

The statement of financial positions of two companies as at 31/12/2025 are as follows:

Statement of Financial Position as at 31 December 2025

	P Ltd	S Ltd
Assets	**GH¢**	**GH¢**
Non-current Assets		
Tangible	100,000	100,000
Investment in S Ltd	300,000	
Current Assets		
Inventory	40,000	200,000
Receivables	60,000	100,000
Cash/Bank	200,000	200,000
Total Assets	**700,000**	**600,000**
Equity and Liabilities		

Equity		
Ordinary shares (GH¢ 1)	160,000	100,000
Retained earnings	240,000	200,000
Non-current liabilities	100,000	200,000
Current liabilities	200,000	100,000
Total Equity and Liabilities	**700,000**	**600,000**

Additional information: P Ltd has today 31/12/2025, acquired all the shares in S Ltd for GH¢ 300,000.

Required: Prepare the consolidated statement of financial position of P Group at 31/12/2025

Solution

To answer the above question, we need to highlight some important information in the question:

1. We are looking at two statements of financial position. One for P Ltd and the other for S Ltd.
2. Note and identify the control structure of the group – P has acquired all the shares of S, i.e. 100% ownership of S, no shares for Non-controlling Interests (NCI).
3. Note the date of acquisition and the reporting date – 31 December 2025 is both the date of acquisition and the date of reporting. It means acquisition accounting (IFRS 3) and preparing consolidated statement of financial position (IFRS 10) will all happen on the same date.
4. Note how much P paid in exchange for the 100% shares in S (cost of investment/purchase consideration = GH¢300,000)
5. Note the net assets of the S which P has acquired = Total Assets – Total Liabilities = Equity = GH¢300,000
6. Note that P paid GH¢300,000 for the total value of Net Asset in S GH¢300,000. As such there is no goodwill or bargain purchase.

After combining/adding the two financial statements, the result will be as follows:

Statement of Financial Position as at 31 December 2025

	P Ltd	**S Ltd**	**P Group**
Assets	**GH¢**	**GH¢**	**GH¢**
Non-current Assets			
Tangible	100,000	100,000	200,000
Investment in S Ltd	300,000		
Current Assets			
Inventory	40,000	200,000	240,000

Receivables	60,000	100,000	160,000
Cash/Bank	200,000	200,000	400,000
Total Assets	**700,000**	**600,000**	**1,000,000**
Equity and Liabilities			
Equity			
Ordinary shares (GH¢ 1)			
Retained earnings	160,000	100,000	160,000
Equity	240,000	200,000	240,000
Non-current liabilities	100,000	200,000	300,000
Current liabilities	200,000	100,000	300,000
Total Equity and Liabilities	**700,000**	**600,000**	**1,000,000**

Explanatory notes:

1. Consolidation produces a group financial statement; therefore the name is now P Group, not P Ltd, not S Ltd, not P and S Ltd…it is **P GROUP**
2. Note the highlighted investment figure in P Ltd and the net asset figure of S Ltd = they are eliminated on consolidation – that is step two of the consolidation procedure and that is an application of IFRS 3, acquisition accounting.
3. Note that after consolidation, total assets and total equity and liabilities will not be equal to 1,300,000 because of eliminations through the consolidation procedures.

Now find below the IAS 1/ IFRS 18 presentation of a consolidated statement of financial position.

P Group
Consolidated Statement of Financial Position as at 31 December 2025

Assets	**GH¢**
Non-current Assets	
Tangible (100,000+100,000)	200,000
Goodwill	
Current Assets	
Inventory (40,000+200,000)	240,000

Receivables (60,000+100,000)	160,000
Cash/Bank (200,000+200,000)	400,000
Total Assets	**1,000,000**
Equity and Liabilities	
Equity	
Ordinary shares (GH¢ 1)	160,000
Retained earnings	240,000
Non-controlling interest	
Non-current liabilities (100,000+200,000)	300,000
Current liabilities (200,000+100,000)	300,000
Total Equity and Liabilities	**1,000,000**

Illustration 2

The statement of financial positions of two companies as at 31/12/2025 are as follows:

Statements of Financial Position as at 31 December 2025

	KEDUA	LUMUNI
	GH¢M	GH¢M
Investment in LUMUNI	500	
Assets	600	650
Total Assets	**1,100**	**650**
Ordinary shares (GH¢ 1)	400	200
Retained earnings	400	300
Liabilities	300	150
Total Equity and Liabilities	**1,100**	**650**

Additional information: Kedua has today 31/12/25, acquired all the shares in Lumuni for GH¢500M.

Required: Prepare the consolidated statement of financial position of Kedua at 31/12/25.

Solution

Kedua Group

Consolidated Statements of Financial Position as at 31 December 2025

	GH¢'000
Assets (600+650)	1,250
Total Assets	**1,250**
Ordinary shares (GH¢ 1)	400
Retained earnings	400
Liabilities (300+150)	450
Total Equity and Liabilities	**1,250**

Consolidation at the Date of Acquisition – Partly Owned Subsidiary

Where the parent owns a controlling interest (for example 60%) but does not own 100% of the shares of the subsidiary, then there exists the non-controlling interest (40%). The parent's portion of the pre-acquisition net asset is related to the cost of investment to ascertain the goodwill. The non-controlling interest portion of the net asset of the subsidiary is then shown separately in the consolidated Statement of Financial Position. The assets and liabilities of the parent and subsidiary are aggregated on line by line basis.

Illustration 3

P Company acquired 12 million equity shares of S Ltd on the Stock Exchange at a cost of GH¢17,200,000 on 31 December 2025. S Ltd is capitalised with 15 million equity shares. The individual statements of financial position of the two companies immediately after the acquisition were as follows:

	P Ltd	S Ltd
	GH¢'000	GH¢'000
Share Capital	60,000	15,000
Retained Earnings	13,000	5,000
	---	---
	73,000	20,000
	=====	=====
Non-current assets	50,000	18,000
Investment in S ltd	17,200	
Net Current Assets	5,800	2,000
	---	---
	73,000	20,000
	=====	=====

Prepare the consolidated statement of financial position of P Group as at 31 December 2025 (immediately after the acquisition).

In preparing consolidated statement of financial position, follow these five steps:

1. Define the group structure – this will establish whether an entity is a subsidiary or associate. Also include the period of consolidation
2. Determine the net assets of the subsidiary at acquisition date (IFRS 3) and at reporting date (IFRS 10)
3. Determine goodwill or bargain purchase and non-controlling interest if any (IFRS 3)
4. Deal with group retained earnings (Parent + Share of post-acquisition profit)
5. Consolidate parent and subsidiary financial statements (combine/Add).

You can add on to these steps depending on the issues in the question.

Consolidation Workings for P Group

P Group Workings

1. Structure -P = 12m/15m x 100 = 80% NCI = 20%
Date of Acquisition and Reporting = 31 December 2025

	GH¢
2. Net Assets of S Ltd at acquistion/reporting date-(15,000k+5,000k)	20,000
3. Goodwill at acquisition date	
Cost of investment	17,200
Proportion of net asset acquired by parent - 80%x20,000	(16,000)
Goodwill at acquisition	1,200
Impairment of goodwill	-
Goodwill at reporting date	1,200
4. Non-controlling interest	
NCI value at acquisition date - 20% x 20,000	4,000
5. Group Retained Earnings - Parent 100% retained earnings	13,000

P Group
Consolidated Statement of Financial Position as at 31 December 2025

Assets	**GH¢'000**
Non-current Assets (50,000+18,000)	68,000
Goodwill (W3)	1,200
Net Current Assets (5,800+2,000)	7,800
	77,000
Equity	
Ordinary shares (GH¢ 1)	60,000
Group Retained Earnings (W5)	13,000
Non-controlling Interest (W4)	4,000
Total Assets	**77,000**

Explanatory Note:

1. In this question, P acquired 80% of the equity shares of S to gain control of S, therefore there is NCI of 20% in S. Date of acquisition and reporting same.
2. P paid 17,200,000 for the 80% its shares and that means 80% of the net assets of S = 80% of 20,000,000 = 16,000,000. This implies P has paid more for the net assets. There is therefore excess of purchase consideration over net assets acquired which is goodwill of 1,200,000.
3. Goodwill will be discussed in detail in Session 3. For now, the goodwill is based on consolidation procedure 2 – to eliminate the parent's cost of investment with its share of the subsidiary's net assets.

Practise Question

Question 1

The statements of financial position at 31 December 2025 of Parent and Sub are as follows:

Statement of Financial Position as at 31 December 2025

	Parent Ltd	Sub Ltd
Assets	**GH¢**	**GH¢**
Non-current Assets	120,000	100,000
Investment in Sub Ltd	100,000	
Current Assets	80,000	80,000
Total Assets	**300,000**	**180,000**
Equity and Liabilities		
Ordinary shares (GH¢ 1)	200,000	80,000
Retained earnings	60,000	20,000
Current liabilities	40,000	80,000
Total Equity and Liabilities	**300,000**	**180,000**

Parent acquired all the shares in Sub on 31 December 2025 for a cost of GH¢100,000.

Required: Prepare the consolidated statement of financial position at 31 December 2025.